

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Thesis

Current supply: 121,603,980 ETH | Price: \$2,243 | Base gas: 0.1 Gwei

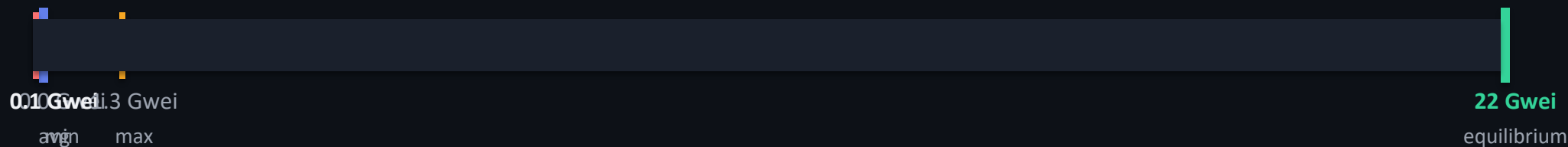
ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Current Supply	7-Day Net Change	Issuance Offset Ratio
121,603,980 ETH	+19,445.89 ETH	0.01x (~1%)



Burns currently offset only ~1% of new issuance — issuance dominates at historic-low gas prices.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn



Blob Gas (EIP-4844)

- Average blob gas: 7,144,934 wei
- Total blob fee burn (7d): 0.15 ETH (\$319)
- L2 data-availability fees are negligible contributors to burn at current volumes

Mechanics Insight

- Low gas = low burn = temporary supply inflation
- EIP-1559 destroys base fees; tips & MEV go to validators
- Equilibrium requires sustained ~22 Gwei average — far above today's 0.1 Gwei

The burn mechanism is structurally sound, but on-chain activity — not code — determines whether ETH becomes deflationary.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Contracts (7d)

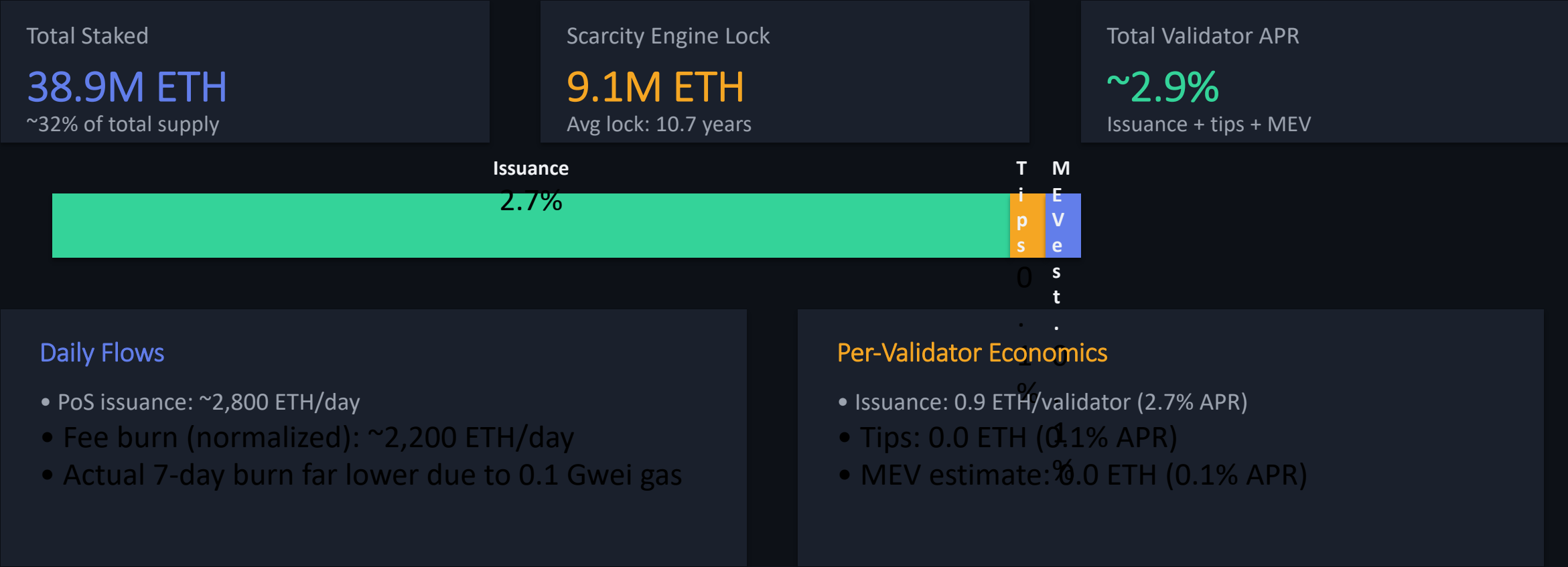
ETH transfers
21.74 ETH

Tether USDT
13.55 ETH

Various DeFi
contracts

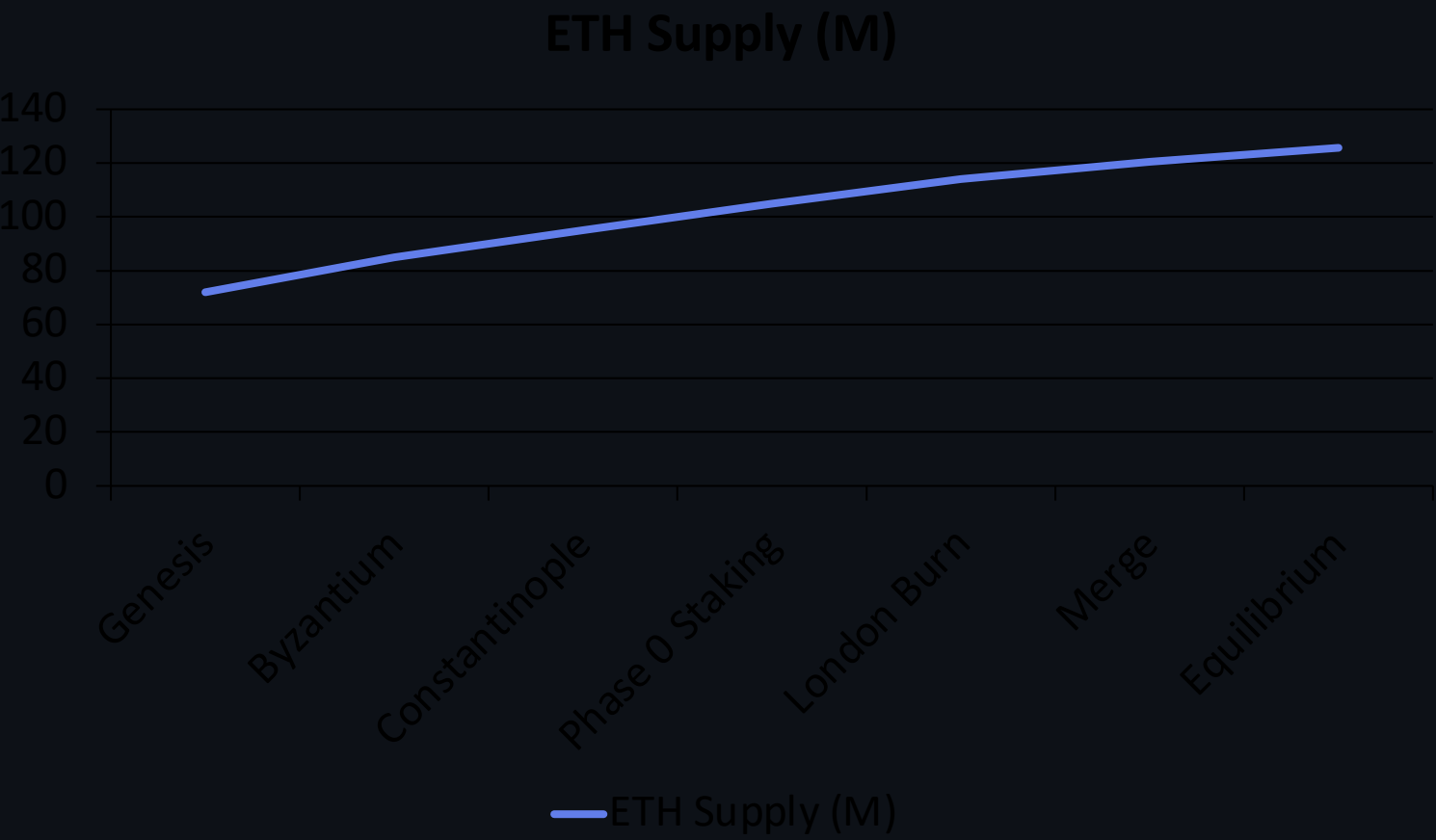
Absolute burn volumes are negligible at current gas levels, but the composition shows DeFi and simple transfers remain the dominant demand drivers.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV



Validators earn almost entirely from protocol issuance; tips and MEV are negligible in the current low-activity regime.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



Equilibrium Parameters

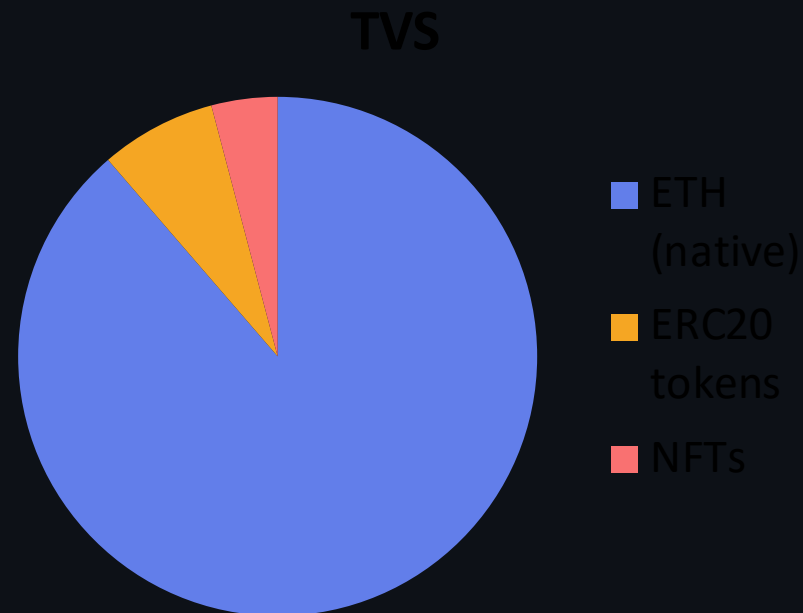
- Staked: 39M ETH
- Avg base gas: 22 Gwei
- PoS issuance: ~2.8K ETH/day
- Fee burn: ~2.2K ETH/day
- Balance: ~1,037K ETH/year
- Staker rewards: 2.7%/yr
- Non-staker burn: 1.2%/yr
- 200-year convergence to 125.7M ETH

Supply growth has flattened dramatically post-merge. The ultra sound money thesis depends on on-chain activity recovery to push gas toward the 22 Gwei equilibrium.

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Market Cap Ratio vs ETH

Bitcoin	18.70%
USD	1.30%
Gold	0.89%



Top Assets

ERC20s:

Dai \$4.41B
SHIB \$3.51B
CRO \$2.97B
XAUT \$2.65B

NFTs:

CryptoPunks \$2.13B
BAYC \$0.68B
ENS \$0.63B
Pudgy \$0.51B

Total Value Secured on Ethereum: ~\$307.6B | Community tracking: 6,000+ members

Ethereum secures over \$307B in total value and has reached 18.7% of Bitcoin's market cap — growing but still early monetary premium.

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

1. ETH is currently slightly inflationary at +0.83%/yr due to historically low gas (avg 0.1 Gwei), with burns offsetting only ~1% of issuance over the past 7 days.
2. The burn mechanism works structurally, but sustained on-chain activity is required to push gas toward the 22 Gwei equilibrium that would make ETH deflationary.
3. 38.9M ETH (~32% of supply) is staked, creating a significant supply lock with validators earning ~2.7% APR primarily from protocol issuance rather than tips or MEV.
4. Long-term equilibrium is projected at 125.7M ETH, requiring sustained ~22 Gwei average gas to balance issuance and burn at ~1,037K ETH/year — the ultra sound money thesis depends on recovery.
5. Ethereum secures over \$307B in total value and has reached 18.7% of Bitcoin's market cap, demonstrating growing but still early monetary premium.

Forward-looking: Investors should monitor gas-market recovery, L2 adoption trajectories, and staking participation as the leading indicators of whether ETH's monetary premium compounds or stagnates.